

could be carried out in agriculture, industry, labour, and trade sectors; in banking, insurance, and other financial sectors; and even education and health sectors. There could also be fiscal reforms – tax and expenditure reforms; monetary reforms – banking and financial; or currency reforms – exchange rate system and convertibility reforms. Pan-economy reforms are often said to be macroeconomic reforms – particularly when they address stabilisation issues, while sectoral reforms are often said to be microeconomic reforms as they influence production levels and prices of individual commodities. Yet, there may be such macroeconomic policies which embed microeconomic dimensions – say differential rates of interest for different sectors or differential charges for different power or transport categories of users.

As the economic context changed in Europe after industrial revolution, governments slowly but steadily moved towards compulsory education for children or imposing restrictions on their employment in factories. As feudal system gave way to capitalist order, demand for uniform adult suffrage emerged and, after a lot of dilly-dallying, it was eventually granted. These were termed as industrial reforms by scholars.

In India, we know of several social reforms for curbing many evil practices during medieval period as well as during the British Raj. Several political reforms were also undertaken in India after independence – the biggest being universal uniform adult suffrage. Electoral reforms were given shape. Administrative reforms and governance reforms have also been undertaken.

In much of the current Indian discourse, economic reforms have reference to liberalisation of business, privatisation of public undertakings, and globalisation of the economy which were ushered in 1991. If one carefully analyses the purposes behind the reforms undertaken after independence but before 1991 and those undertaken after 1991, one would discover that earlier set of reforms were generally equity seeking while later set of reforms are efficiency promoting. Proponents of equity seeking reforms argued that better distribution of income and wealth will also improve growth via demand side while opponents thought such moves would compromise growth as these would dent improvement in savings. Majority of analysts in those days were proponents of equity seeking reforms. Another way to differentiate the pre-1991 and post-1991 reforms could be in terms of their scope. The latter were more widespread and coordinated, unlike the attempts, even at promoting market efficiency in the pre-1991 period, such as in 1980s. Pre-1991 reforms attempted to establish a socialistic pattern of society where there was a pervasive regulatory control by the State. The public sector was expected to reach the ‘commanding heights’ of the economy with clearly demarcated priority sector industries reserved for this sector. Reversal of emphasis on public sector from the commanding heights of the economy since 1991, was said to unleash the market forces. Present genre of reforms has variously been said to be market-oriented, pro-market, market-friendly, pro-business and pro-competition, as tilt towards market was seen to be promoting competition. Some have considered it a State- retreat.

Welfare measures undertaken post-independence were considered liberal as similar measures were undertaken by the Liberal Party in early 20th century when it was in power in Britain. These were in contrast to those pursued by Conservative Party. In addition, there were measures which put restrictions on operation of private enterprises, which were said to be left-of-the centre and progressive (as

opposed to reactionary). Since, in the present dispensation, restrictions were to be liberalised, political thinking classified such reforms as neoliberal rather than liberal as (political) liberalism is altogether different from (economic) liberalisation.

Neoliberalism is said to be a phrase for resurgence of 19th century ideas of laissez faire and free-market capitalism. Liberalism in contrast had several shades but largely came to be associated with progressivism which suggested State to regulate market activities from welfare angles and undertake welfare-oriented policies.

Check Your Progress 1

- 1) Define economic reforms.

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- 2) Differentiate between equity-seeking reforms and efficiency-seeking reforms.

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- 3) Explain the meaning of neo-liberal reforms.

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7.3 INDIA'S PATH TO ECONOMIC TRANSFORMATION

India's journey began as a newly independent poor underdeveloped nation in 1947 – the year of its independence from the British rule. At that time, India was one of the poorest nations in the world in terms of income, wealth and material capacity. The country remained a virtually closed economy for nearly four decades after its independence, following an inward-looking development strategy. The first few plans focused on growth with strengthening of the manufacturing sector emphasizing heavy industries to form the backbone of the economy. Other principal areas of planning were agriculture and social development i.e. housing

and poverty alleviation. Some of the measures that shaped the development process in general and the process of industrialisation, in particular, involved the following:

7.3.1 Planned Economic Development

Post independence, the key goal was to achieve self-reliance in all possible dimensions of economic activities of the nation. Accordingly, a diversified industrial production base was meticulously planned out for India, ranging from simple consumer items to sophisticated capital goods and heavy machinery. Since 1951, India has grown as a planned economy with the inception of First Five Year Plan. India's initial development strategy, aimed at a 'socialistic pattern of development'. There was lack of faith in the market and the role of the State was considered the need of the hour. Trade received very little attention; while the nation's trade policy was characterised by pervasive import and exchange control. The architecture of India's post-colonial development policy framework was inspired by the soviet model of development. Indeed, the foundations of India's 2nd Five Year Plan model (Mahalanobis, 1953) closely resembled Feldman's model developed in the Soviet Union in the 1920s, which argued for a larger share of investment in the capital goods sector that may slow down growth in the short-run but would result in a much higher growth rate in the long run, accompanied with higher levels of consumption. As India was about to launch the Second Five Year Plan, Parliament passed in late 1954, a resolution establishing a socialistic pattern of society in India (which meant no more than seeking to be a welfare state within a capitalist order and a more egalitarian society). The focus thus shifted to industrialisation where a five-fold strategy was invoked: promotion of import-substitution led industrial development, tilt towards heavy industry in the pattern of industrial development, commanding heights of the economy (industrial space) for the public sector, regionally balanced industrial development, and promotion of small scale industries in the sphere left for private sector with a view to improving employment through reservation of items for production. Industrial Policy Resolution of 1948 was revised to strengthen government control in the Industrial Policy Resolution of 1956. Several private enterprises in manufacturing, transport, and services were nationalised in 1950s– and some more after 1955. The purpose was to check concentration of income and wealth and, thus, economic power in a few hands. Freight equalisation policy was implemented right from 1952 up to 1993, whereby transportation cost of industrially 'essential' items such as coal, steel, cement, etc. would be the same irrespective of distance. It is pointed out that eastern and central regions which had natural competitive advantage lost, whereas western, northern and southern regions gained.

7.3.2 Import Substitution in Industrialisation

National Planning Committee (1938) had suggested that India should focus on mother industries so that it is self-reliant. Mother industries are those industries that make other industries run successfully: power industry; industries for production of metals, heavy chemicals, machinery, and tools; and communication industries such as railways, telegraphs, telephones, and radios. Later, atomic energy and space were added. Besides self-reliance, there was a view that India did not have much to offer by way of exports in order to be able to import capital and essential goods for industrialisation.